

SALES CASE STUDY 2021

One product, 1,053 trading days — what is it really earning?

Daily sales, cost of sales and quantity sold from 30 Dec 2013 to 16 Nov 2016, answering the brief: average unit selling price, gross profit percentage, the elasticity of promotional periods and what the trading data recommends.

PERIOD COVERED

30 Dec 2013 – 16 Nov 2016

1,053 trading days · 104 promotional days

TOTAL SALES

R186.9m

R186,909,828

UNITS SOLD

5,279,872

Total quantity sold

AVG UNIT PRICE

R35.40

Weighted: total sales ÷ total units

OVERALL GROSS MARGIN

-3.81%

Total GP ÷ total sales

AVG DAILY PRICE

R37.07

Median R36.91

PRICE RANGE

R30.70 – R43.81

Lowest to highest daily unit price

LOSS-MAKING DAYS

607 of 1,053

58% of trading days sold below cost

AVG DAILY VOLUME

5,014

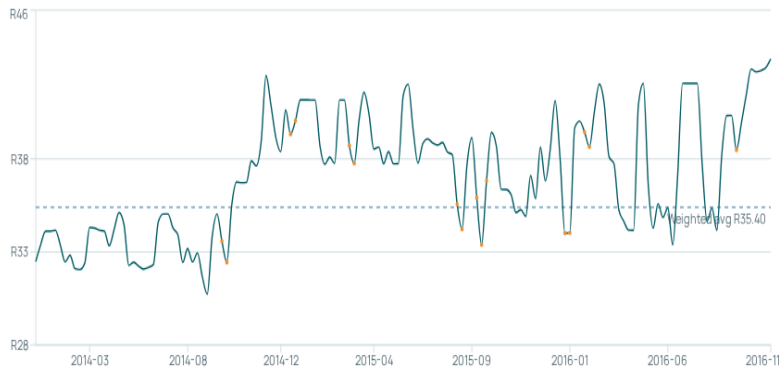
R178k average daily sales

QUESTION 1 & 2

Average unit selling price

Daily unit selling price (Sales ÷ Quantity)

Weekly average of the daily price. Amber points mark weeks that were mostly on promotion (price ≥ 5% below the 28-day trailing average).



Answer

R35.40

Weighted average unit selling price = total sales ÷ total units sold.

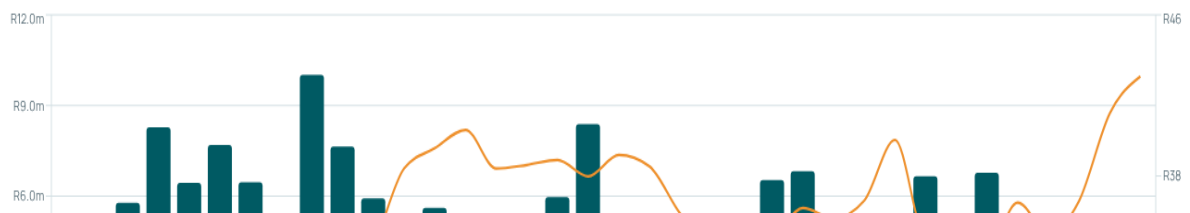
Simple mean of the daily prices: **R37.07** — higher because low-price days carry far more volume.

Median daily price: **R36.91**.

Price drifts up from roughly R32 in 2014 to R41 in late 2016, punctuated by sharp promotional dips.

TRADING PATTERN

Monthly sales, volume and price





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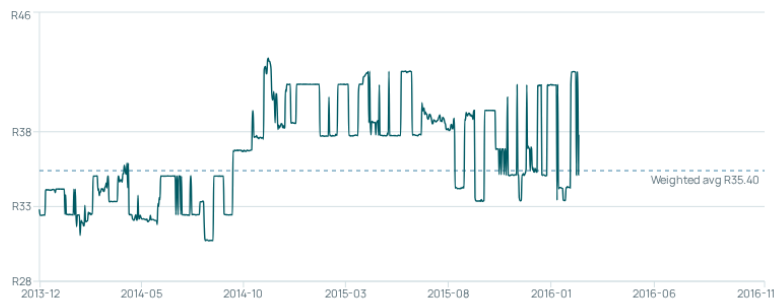
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QUESTION 1 & 2

Average unit selling price

Daily unit selling price (Sales ÷ Quantity)

Amber points mark days flagged as promotional (price ≥ 5% below the 28-day trailing average).



Answer

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Weighted average unit selling price = total sales ÷ total units sold.

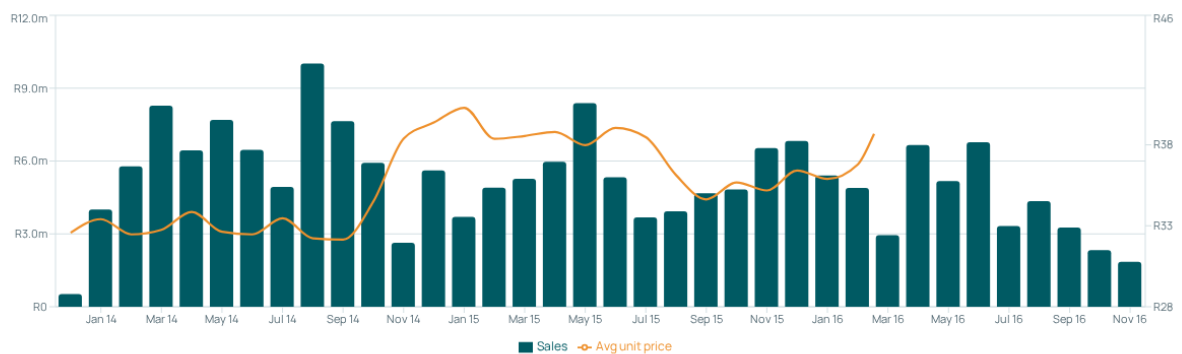
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TRADING PATTERN

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QUESTION 3 & 4

Gross profit percentage

Monthly gross profit % (Sales - Cost of sales)

10%

Answer

-3.81%



Price elasticity of demand

Price	R40.25 → R34.04 (-15.4%)
Daily units	3,184 → 8,086 (+154.0%)
Daily sales	R124k → R275k
Daily gross profit	R4k → R-21k
GP %	+6.0% → -7.6%

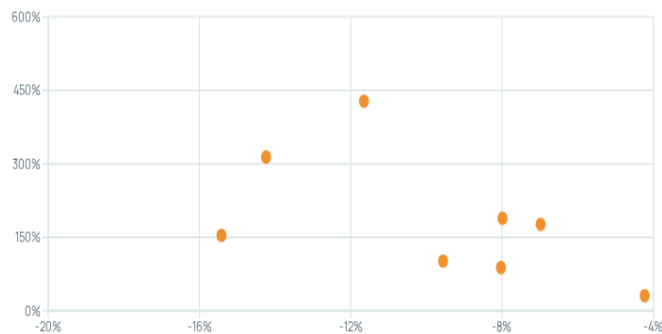
Price elasticity of demand

Price	R40.58 → R37.75 (-7.0%)
Daily units	3,188 → 8,814 (+176.5%)
Daily sales	R126k → R333k
Daily gross profit	R-4k → R-30k
GP %	-0.9% → -8.9%

Price elasticity of demand

Price	R38.75 → R34.23 (-11.7%)
Daily units	1,643 → 8,673 (+427.8%)
Daily sales	R64k → R297k
Daily gross profit	R-229 → R-27k
GP %	+0.2% → -9.1%

All 8 promotional windows: price cut vs volume lift



Answer

Demand is **highly elastic**. Across the analysed windows PED runs from -36.7 to -10.0 – every 1% price cut buys roughly 10–37% more units.

Revenue more than doubles on promotion, but because the discount is taken off an already thin (often negative) margin, gross profit per day collapses further. The product is a volume driver, not a profit driver.

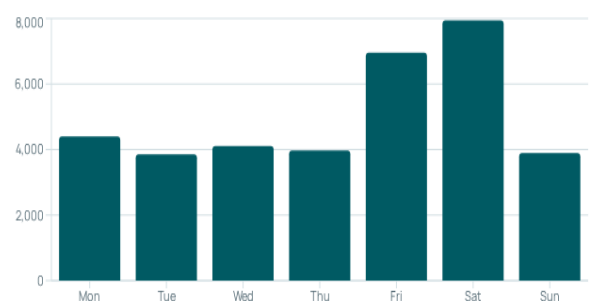
QUESTION 6

Promotional vs regular trading, and weekly rhythm

Average day: promotion vs regular price

GROUP	DAILY SALES	DAILY UNITS	PRICE	GP %
Regular price	R168k	4,720	R37.27	-0.18%
Promotional	R267k	7,702	R35.24	-7.24%

Average units sold by day of week



QUESTION 7

What the data recommends

Fix the cost line first

Cost of sales exceeds sales on 58% of days. Before any pricing change, validate supplier cost and confirm whether rebates or settlement discounts are excluded from the cost feed.

Set a margin floor

Introduce a hard floor of roughly R38.23 per unit. Holding the current volume at a break-even price recovers the R71m gross loss.

Shorten and sharpen promotions

Elasticity of -10 to -37 means a much smaller discount buys most of the lift. Test 5–8% cuts over 3–4 days instead of 15%+ cuts over two weeks.

Trade the weekend

Friday and Saturday carry the highest regular-price volume. Weight stock and staffing there and keep discounting off the days that already sell.